

NVIDIA Corporation

NVDA NASDAQ

Buy

\$219.47 ▲ 0.88%

12M Price Target
\$260.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$5.32T

NVDA: Holding Near Highs as China Deal Reshapes AI Trade

WHAT HAPPENED

- Quiet tape — NVDA up 0.88% on tiny volume (16M vs. the usual 100M+), meaning most traders are on the sidelines. That's typical August, but it also tells you nobody's rushing to sell at \$219 either — the stock is coiled near its 52-week high (\$236) and digesting recent gains.
- The narrative shift is the Apple vs. NVDA "crown" story — NVDA's market cap (\$5.3T) is now trading punches with Apple for the world's most valuable company. That matters because it means every index fund on earth is a forced buyer, which puts a floor under the stock.

WHY IT MATTERS

Here's what I think is really going on: the options market is flashing a mixed but net-bullish signal — unusual call buying at \$182.50 and \$185 (way below current price) looks like someone rolling protection or closing shorts, while that unusual \$237.50 put buying is likely hedging, not directional bearishness. Translation: big money is protecting gains, not fleeing. The bigger picture is that NVDA has quietly become a "policy stock" — its price now moves as much on Washington headlines (China export licenses, CHIPS Act disbursements, federal AI procurement) as it does on earnings. That's actually a feature, not a bug, because the current administration's posture is aggressively pro-AI-infrastructure spending, which is exactly where NVDA's revenue comes from.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's "AI Action Plan" export licensing framework, which allows NVIDIA to sell modified H20 chips to China in exchange for a 15% revenue cut to the U.S. Treasury — this is now the template, and any expansion (or reversal) directly hits ~\$15-20B in potential annual revenue. Congress is also finalizing FY2027 appropriations that include expanded DoD and DOE AI compute budgets — NVIDIA is the default vendor for basically all of it. Headwind to watch: the Senate's bipartisan "GAIN AI Act" that would require U.S. customers to get priority over foreign buyers on advanced chips — sounds pro-NVDA politically but could actually cap their international pricing power.

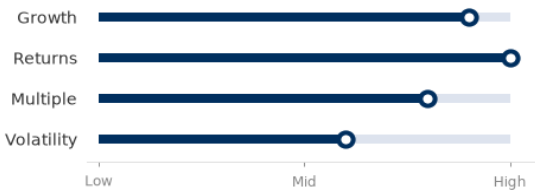
IS IT EXPENSIVE?

At ~49x forward earnings, you're paying \$49 for every \$1 of profit NVDA is expected to make next year — that sounds rich until you remember earnings are still growing 40%+ annually, which means the multiple collapses fast if they keep executing. Compare that to AMD around 35x with half the growth, or Broadcom at 32x — NVDA's premium is justified as long as data center revenue stays above 25% growth. The stock isn't cheap, but it's not the bubble people were calling it at \$140 either; it's priced like a dominant monopoly that still has runway.

Key Data

Price (USD)	\$219.47
12M Price Target	\$260.00
Upside / (Downside)	+18.5%
Market Cap	\$5.32T
FY2026E Revenue	\$205M
FY2027E Revenue	\$258M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.80
Fwd P/E	49.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$225.00	\$205.00
6 Months	\$275.00	\$245.00	\$190.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$380.00	\$300.00	\$170.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1.0%) and Healthcare (+4.5% over 5 days) — money is rotating into defensive-growth names that also benefit from federal spending (infrastructure bill money hitting industrials, drug pricing clarity for healthcare).

COOLING OFF: Tech is flat over 5 days (-0.16%) — not weakness, just consolidation after a huge run. Utilities down 1.5% as AI-power-demand trade takes a breather.

ROTATION WATCH: Money is quietly moving from mega-cap tech into industrials and healthcare, but not out of NVDA specifically — the stock is holding while the sector rests, which is a tell that institutions are treating it as a core holding, not a trade.

RELATED PLAY: If NVDA holds up, the "second derivative" plays are the data center infrastructure names — Vertiv (VRT) for cooling, Eaton (ETN) for power, and Digital Realty (DLR) for the buildings themselves. All benefit from the same federal AI spending story with less single-stock risk.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): Just delivered "otherworldly" earnings — riding the same federal AI spending wave as NVDA but on the software side.
- AVGO (Broadcom): Custom AI chip partnerships with hyperscalers make it the "if you can't beat NVDA, be its complement" trade.

NVDA CONTEXT: NVDA is leading, not lagging — it's within 7% of all-time highs while broader tech consolidates, which means it's still the alpha name in the group. When the leader holds up during a sector pause, that's usually a setup for the next leg up, not a top.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$210-215 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth decelerates below 20% YoY or full China export ban reinstated

Hedging: Buy \$200 puts 3-6 months out, or pair with a short in an overheated smaller AI name